OECD
ECONOMIC SURVEYS

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

JAPAN

ORGANISATION DE COOPÉRATION ET DE DÉVELOPPEMENT ÉCONOMIQUES

JUNE 1968

BASIC STATISTICS OF JAPAN

THE LAND

Area (1,000 sq. km 1966)	369.9
Agricultural area (1 000 sq. km. 1966)	60.0
Forest (1 000 sq. km. 1965)	252.1
Population of major cities (1967):	
— Tokyo (*Ku* area)	8 960 000
— Osaka	3 106 000
— Nagoya	1 981 000
— Yokohama	1 945 000

THE PEOPLE

Population (1967)	99 640 000
No. of inhabitants per sq. km. (1967)	269
Net natural increase in population (annual average 1957-1967)	930 000
Net rate of increase per 1 000 inhabitants (average 1957-1967)	9,8
Net emigration (average 1957-1966)	7 000
Employment (1967)	49 940 000
— Agriculture	9 660 000
— Manufacturing, mining and construction	16 850 000
— Other	23 430 000

PRODUCTION

Gross national product in 1967 (billion yen)	41 637.5
GNP per head 1967 (US dollar)	1 160
Gross fixed investment, 1967:	
— Percentage of GNP	33
— Per head (US dollar)	382
Origin of net domestic income af factor cost, 1967:	
— Agriculture	12 %
— Manufacturing, mining and construction	37 %
— Other	51 %

THE GOVERNMENT

Current expenditures on goods and services, 1967 (percentage of GNP)	9
Capital expenditures, 1967 (percentage of GNP)	10
Current government revenues, 1967 (percentage of GNP)	20
Composition of the House of Representatives (486 members on 30th June 1968):	
— Liberal Democratic Party	56 %
— Socialist Party	28 %
— Democratic Socialist Party	6 %
— Clean Government Party	6 %
— Communist Party	1 %

LIVING STANDARDS

Calories per head per day, 1966	2 206
Electricity consumption, 1967 (thousand kW per head)	2 399
No. of passengers' cars per 1 000 inhabitants, 1967	27
No. of subscribed telephones per 1 000 inhabitants, 1966	130
No. of T.V. subscribers per 1 000 inhabitants, April 1968	234

FOREIGN TRADE

Exports	
Exports of goods and services as a percentage of GNP, 1967	11
Main exports in 1967 (percentage of total exports):	
— Machinery	42
— Metals and Metal Products	17
— Textiles	16
— Chemicals	7
— Food	4
Imports:	
Imports of goods and services as a percentage of GNP, 1967	11
Main imports in 1967 (percentage of total imports):	
— Mineral fuels	19
— Food	15
— Metal ores	14
— Textile materials	8
— Other raw materials	17
— Machinery	9

THE CURRENCY

Monetary unit: yen.	
Currency units per US dollar	360

ECONOMIC SURVEYS BY THE OECD

JAPAN

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ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The members of OECD are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

The Socialist Federal Republic of Yugoslavia is associated in certain work of the OECD, particularly that of the Economic and Development Review Committee.

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INTRODUCTION

After two years of rapid internal expansion, which led in 1967 to a sizeable external deficit, the Japanese economy has entered a phase of adjustment prompted by policy measures. The adjustment process is following virtually the same pattern as in previous cases; but the time taken to restore external equilibrium has been comparatively short. The current balance of payments, seasonally adjusted, switched from a high deficit position in the fourth quarter of 1967 into a small surplus in the first four months of 1968 and the net outflow of long-term capital was sharply reduced.

This spectacularly rapid improvement of the external situation is not easy to understand. The preceding boom was still very strong when policies were shifted towards restraint in the early autumn of 1967. With both the current and the long-term capital account in heavy deficit and a buoyant investment demand, the situation seemed to be particularly difficult to manage. Another aggravating factor was that in 1967, for the first time in twenty years, Japanese exporters failed to gain market shares abroad.

The present Survey analyses in Part I the developments which led to the excessive boom conditions prevailing during most of 1967, paying special attention to the concomitant weakening of the export performance. Part II describes the adjustment process, assessing the respective roles of policy and external events which had an important bearing on the business climate. The question whether the restoration of equilibrium can this time be achieved without subjecting the economy to another recession deserves careful study; it is discussed in connection with short-term prospects (Part III) and policy issues (Conclusions).

PART I

THE 1966-67 BOOM

The sixth post-war business cycle might have passed its upper turning point by the middle of 1968. In volume terms the rate of growth of GNP rose from 3.7 per cent in 1965 to 10.7 per cent in 1965 and accelerated to 13.7 per cent in 1967. The rapid expansion which continued virtually unabated up to the end of 1967 was accompanied by a marked deterioration of the external position. Between the first quarter of 1966, when the current account surplus reached an all-time high, and the fourth quarter of 1967, the seasonally adjusted balance of goods and services changed from a surplus equivalent to 1.7 per cent of GNP to a deficit of 0.6 per cent. According to preliminary estimates, at constant 1960 prices, the swing was at as much as 3 per cent.

Table 1 shows the behaviour of main components of demand at constant prices during the last business cycle. It covers 36 months, divided into 4 sub-periods, chosen according to turning points or important changes of trends and policies.

During the recessionary phase (from 1964 III to 1965 IV) the growth of real GNP slowed down to an average annual rate of 2.6 per cent, the improvement of the foreign balance contributing half of the increase. Private investment in both machinery and equipment and stocks contracted substantially but the steady rise of private consumption and the acceleration of public spending combined to keep the trend of total domestic demand moderately upwards.

The revival of economic activity began early in 1966 but it was not before the middle of the year (18 months after a policy of monetary ease had been adopted) that the boom was firmly established. The expansion was initially led by exports and government spending; but the steepening upward trend of private consumption, notably of rural households, helped considerably to lift the economy out of the recession. A reversal of the downward tendency of enterprise investment also started during this phase; the rate of growth of stock accumulation remained, however, remarkably low up to the middle of 1966. The full recovery of investment in fixed assets was delayed because of the pronounced hesitation of the corporate sector, especially of bigger enterprises; it was only in the third quarter of 1966 that the previous peak level of total private productive investment attained two years before was matched. However, the simultaneous strengthening of virtually all demand components during the recovery period up to the middle of 1966 boosted the seasonally adjusted annual rate of growth of GNP to more than 15 per cent.

Table 1 **Changes in Components of Demand at constant 1960 prices, seasonally adjusted**

		Absolute figures billion yen, annual rates					1964 III-1965 IV		1965 IV-1966 II		1966 II-1967 I		1967 I-1967 III	
		Previous peak 1964 III	Previous trough 1965 IV	recovery 1966 II	Turn of stock cycle 1967 I	Begin. of adjustment 1967 III	Absolute billion yen	In % of initial GNP at annual rates	Absolute billion yen	In % of initial GNP at annual rates	Absolute billion yen	In % of initial GNP at annual rates	Absolute billion yen	In % of initial GNP at annual rates
1	Private investment in machinery and equipment	4 944.5	4 444.2	4 789.7	5 478.7	6 360.5	–500.3	–1.7	345.5	2.8	689.0	3.5	881.8	6.1
2	Private investment in stocks	1 148.2	279.2	564.6	2 068.6	1 766.9	–869.0	–2.9	285.4	2.3	1 504.2	7.6	–301.7	–2.1
3	1 + 2	6 092.7	4 723.4	5 354.3	7 547.3	8 127.4	–1 369.3	–4.6	630.9	5.1	2 193.2	11.1	580.1	4.0
4	Public consumption	1 846.0	1 899.7	1 999.3	2 061.2	2 038.9	53.7	0.2	99.6	0.8	61.9	0.3	–22.3	0.2
5	Public gross fixed asset formation	2 168.9	2 602.8	2 887.8	2 642.5	2 769.6	433.9	1.4	285.0	2.3	–245.5	–1.2	127.1	0.9
6	Government enterprises' increase in stocks	19.8	85.8	100.2	95.3	291.5	66.0	0.2	14.4	0.1	–4.9	–0.0	196.2	1.4
7	4 + 5 + 6	4 034.7	4 588.3	4 987.3	4 799.0	5 100.0	553.6	1.8	399.0	3.2	–188.3	–0.9	301.0	2.1
8	Private consumption	12 511.4	13 423.7	14 023.7	14 811.1	15 882.3	912.3	3.1	600.0	4.8	787.4	4.0	1 071.2	7.4
9	Private residential construction	1 144.2	1 426.6	1 402.3	1 492.7	1 719.4	282.4	0.9	–24.3	–0.1	90.4	0.4	216.7	1.5
10	8 + 9	13 655.6	14 850.3	15 426.0	16 303.8	17 601.7	1 194.7	4.0	575.7	4.7	877.8	4.4	1 297.9	8.9
11	Exports of goods and services	2 997.9	3 698.7	4 172.3	4 347.2	4 625.2	700.8	2.4	473.6	3.8	174.9	0.9	278.0	1.9
12	Imports of goods and services	2 930.7	3 230.8	3 441.9	3 954.7	4 513.4	300.1	1.0	211.1	1.7	512.8	2.6	558.7	3.8
13	11 — 12	67.2	467.9	730.4	392.5	111.8	400.7	1.3	262.5	2.1	–337.9	–1.7	–280.7	–1.9
14	GNP	23 850.3	24629.8	26 497.9	29 042.6	30 940.9	779.5	2.6	1 868.1	15.3	2 544.7	12.8	1 898.3	15.1

Sources : Annual Report on National Income Statistics, Economic Planning Agency (EPA), and preliminary estimates for the third quarter of 1967 of the Economic Research Institute of the EPA.

The period from mid-1966 up to the spring of 1967 was marked by a full-fledged private investment boom; all components of private investment, but in particular stock accumulation, accelerated sharply. The growth of private consumption moderated and government expenditure decreased. With the growth of exports slowing down, and imports rising very rapidly, a sizeable deterioration of the external balance occurred. As a result, the annual rate of growth of GNP slowed down to less than 13 per cent, of which 3.5 points were accounted for by private productive investment and as much as 7.5 percentage points by the upsurge in private stock building.

The subsequent period (up to the third quarter of 1967, when corrective policy measures were introduced) saw a weakening of private demand for stocks but a marked further acceleration of other types of private investment. Government fixed investment picked up and there was high inventory accumulation of government enterprises. But the salient feature of this period was a strong acceleration of private household demand. According to preliminary estimates the rate of growth of household expenditure on current consumption and residential construction (in constant prices) almost doubled in relation to the previous phase, contributing almost 9 percentage points, or two-thirds, to the annual rate of growth of GNP. The rise in imports accelerated further so that despite some pick-up of exports the current external balance switched to deficit.

Specific Features of the Upswing

As pointed out in last year's Survey of Japan (pages 23-30) the response of the economy to the relaxation of monetary policy (beginning 1965) had been very slow. It was only through an important change of the policy mix 9 to 12 months after the beginning of the recession that the downward trend of business spending was reversed. But, once the upswing set in, neither the pattern nor strength of the boom were significantly different from previous booms. The time between trough and recovery of private productive investment to its previous peak was roughly of the same duration, and the trend of GNP and industrial production about as steep, as in earlier expansionary phases. In fact, as can be seen from Table 2, there has been a striking similarity of the trends of GNP and industrial production during all four boom periods, with seasonally adjusted quarterly rates of growth ranging between 3.3 and 3.9 per cent for the former and 4.3 and 4.8 for the latter.

Table 2 **Comparison of Periods of Rapid Expansion**

	Base	55 III-57 II	59 I-62 II	63 II-64 III	66 I-67 IV
Duration of boom period[1]	Quarters	8	14	6	8
Length of period from trough to full recovery of private productive investment to previous peak	—	3	4	3	3
Domestic demand:	Average quarterly				
GNP	seas. adj. volume	3.5	3.4	3.9	3.3
Private productive investment	increases	8.8	6.5	4.8	5.7
Private residential construction	—	4.6	3.4	5.8	2.8
Government gross fixed asset formation	—	2.0	4.6	1.5	2.5
Government consumption	—	–0.3	1.7	2.9	1.9
Private consumption	—	2.0	2.4	2.4	2.3
Stock cycle:	Ratio of private stock formation				
Position at peak	to GNP, seas. adj,	9.9	6.6	5.9	5.5
Rise from trough to peak	current prices	9.9	6.2	6.5	5.3
Industrial production	Average quarterly	4.8	4.6	4.3	4.5
Employment in manufacturing	seas. adj. increases	2.6	3.0	0.9	0.5
Monthly earnings in manufacturing	—	1.9	2.4	2.9	3.2
Growth of industrial capacity	Quarterly averages	3.0	3.9	2.5	2.5
Change of operating ratios	—	1.2	0.9	1.6	2.2
Prices:	Average quarterly				
GNP deflator	increases	1.0	0.9	1.2	1.0
Cost of living	—	0.5	1.2	0.8	1.1
Wholesale prices	—	1.2	0.1	0.1	0.5

1 Time between upturn and significant slowing down of the growth of GNP.
Sources: Annual Report on National Income Statistics, EPA; Economic Statistics Annual, Bank of Japan; Main Economic Indicators, OECD.

There have, however, been significant differences as to the duration of the expansionary phases and the behaviour of main components of demand. The last boom was longer than that of 1963/64, but much shorter than the upswing following the 1958 recession. With the important exception of private consumption, the contribution to growth of other main elements of demand showed rather wide variations. The key role of the stock cycle in the recovery process has weakened from period to period, with the peak of the private stock accumulation/GNP ratio attained in the course of each cycle falling from 9.9 per cent in the 1956/57 boom to 5.5 per cent in the last boom; the swing from trough to peak contracted from 9.9 to 5.3 per cent. By contrast, the tendency up to 1964 for private productive investment to play a decreasingly dynamic role did not continue, belying the concern widely expressed in 1965 and early 1966 that structural changes in the economy had brought about a weakening of the underlying propensity to invest. The share of private productive investment in GNP may have amounted to 21 per cent, exceeding slightly the previous peak of the 1963/64 boom, but still below the 23 per cent attained in the summer of 1961[1]. The ratio of total fixed asset formation to GNP at constant 1960 prices may perhaps have reached a new all-time high of about 36 per cent in the fourth quarter of last year.

The unexpectedly sharp upturn of business investment during the recent boom can be attributed to a number of factors:

(i) The demand gap which had prevailed since 1961 has been gradually eliminated by 1966. Important potential excess capacities had been built up during the long 1959/1961 investment boom, notably in steel, electrical and other machinery, synthetic fibres and petrol refining. Investment activity in these industries was rather hesitant between 1961 and 1965—even during the short-lived business upswing of 1963/64. The capital stock of manufacturing industries is estimated to have exceeded the level of a year earlier by as much as 23 per cent in the third quarter of 1961. By the second quarter of 1966 the rate had come down to 6 per cent, i.e. to about half the rate required to meet the trend rate of sales[2].

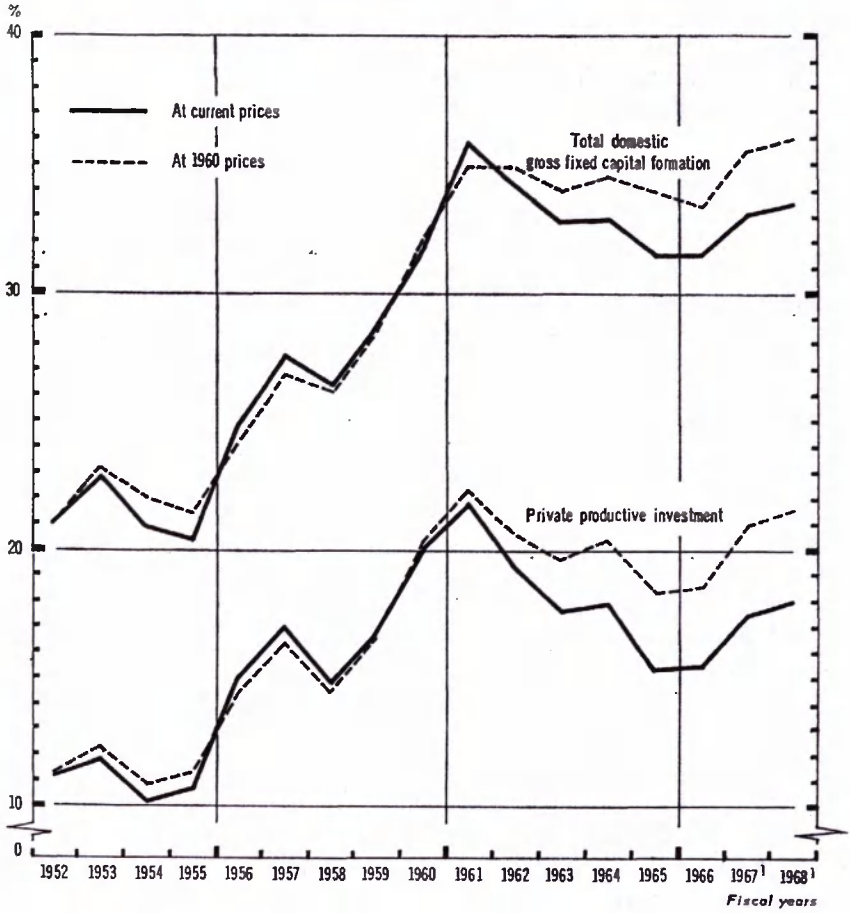
(ii) The earlier hesitation of investment activity had also involved a delay in replacing obsolete or scrapped equipment; by contrast,

1 Due to a steeper trend of prices of consumer goods and services (including government) the share of total fixed investment and notably private productive investment at current prices continued to decline.

2 See Economic Survey of Japan 1966-1967, EPA.

Diagram 1 **Shares of investments in GNP**

At current and 1960 prices



1 Secretariat estimates.

Source: Annual Report on National Income Statistics, Economic Planning Agency

a conspicuous acceleration of the modernisation process took place in the last boom. According to estimates of the Economic Planning Agency, the ratio of scrapped equipment to gross investment in corporate enterprises reached a trough in 1962 but doubled to 40 per cent in 1966. This may also help to explain why, in spite of a steepening trend of investment, the rate of growth of capacity has remained significantly below the rates recorded in previous boom periods, entailing a particularly steep rise in operating ratios until the first half of 1967.

(iii) The narrowing wage disparity between big and small sized firms, coupled with the growing labour shortage, provided a strong stimulus to low productivity enterprises to invest, notably in the consumer goods sector.

(iv) The greatly improved profits situation and easier financial conditions facilitated investment. Interest rates at the beginning of the recovery were the lowest ever recorded, and the secular downward trend continued unabated until the autumn of 1967. At the same time the profit situation improved importantly because of an impressive reduction in labour costs per unit of output, an increase in sales prices, a relatively marked fall of capital costs and a greatly reduced dependence on borrowed funds. Estimates relating to the corporate sector suggest that the self-financing ratio between fiscal year 1960 and fiscal year 1966 increased from 51.5 per cent to an all-time high of 81 per cent.

(v) Investment has been encouraged by what is commonly called in Japan " the triple C boom " (car, colour television and air conditioning). A comparable boom in consumer durables was only experienced in the late fifties.

Despite the very rapid increase of investment during the past two years the rate of growth of capacity has not been sufficient to keep pace with the growth of current sales[1]. Indeed, only about half of the growth of industrial production between the end of 1965 and 1967 can be related to capacity increases. As a result there has been an unprecedented rise of the index of operating ratios, from 98.0 (1965 = 100) in the last quarter of 1965 to 111.9 and 117.1 respectively in the last quarters of 1966 and 1967.

The pressure on domestic prices and wages has not been stronger, on average, than in preceding boom periods. Between the fourth quarters of 1965 and 1967 the GNP deflator rose at a seasonally adjusted annual rate of 4 per cent, with consumer prices increasing at less than 5 per cent. About the same rates were recorded in previous cycles. The trend of wholesale prices was, however, relatively steep with year-to-year increases of 2.4 per cent in 1966 and 1.9 per cent in 1967. The price index has been influenced importantly by special factors (e.g. non-ferrous metals and lumber prices). The labour cost situation, on the other hand, has been comparatively favourable. The rise of industrial labour productivity was the highest ever recorded before and out-stripped

1 It is difficult to say how far this reflects cautious attitudes of entrepreneurs or physical or financial constraints to adjust production capacity to current sales.

the growth of wage earnings significantly. Although the increase of industrial employment accelerated in the latter part of 1967 the contribution of labour input to the growth of industrial production has been remarkably low in comparison with previous upswings.

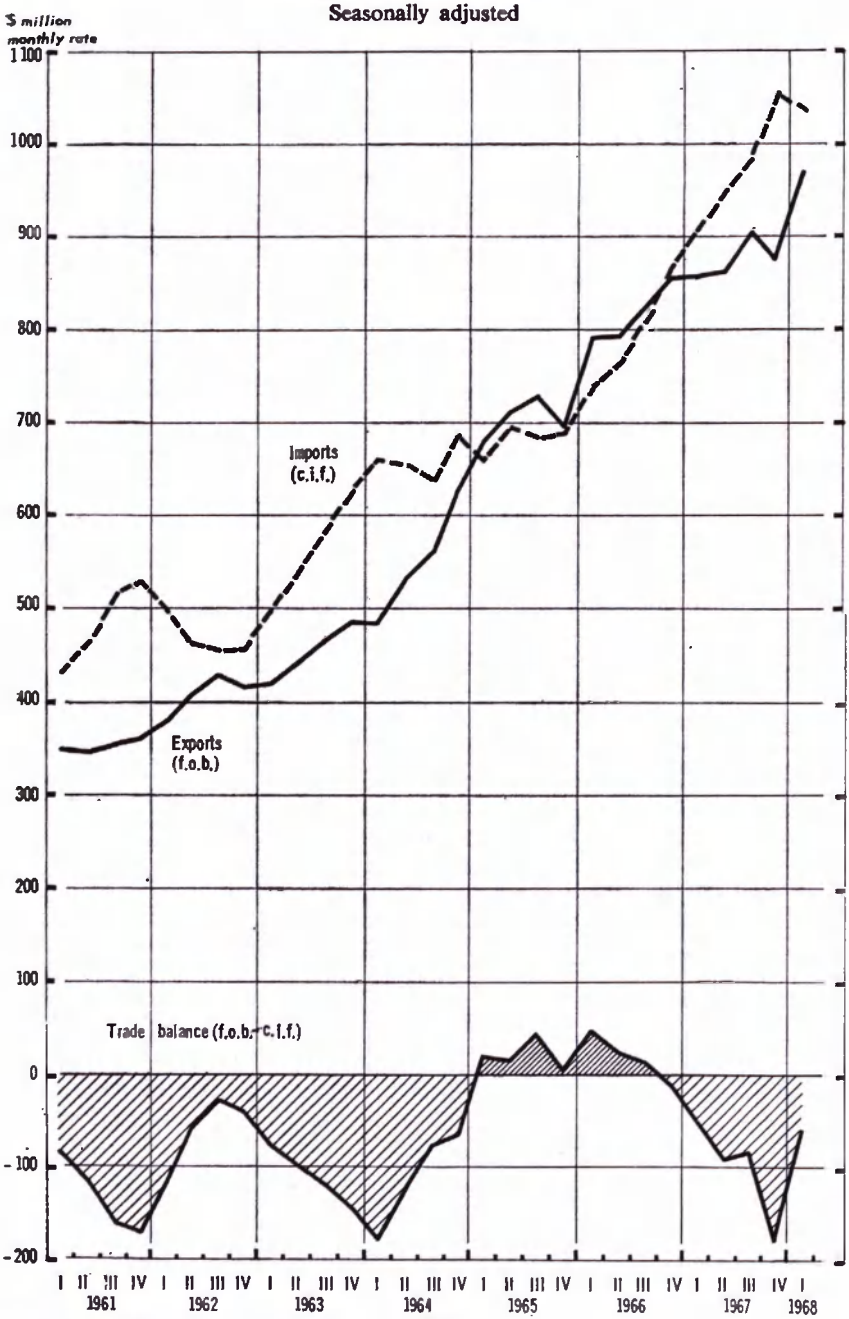
The rapid expansion of demand and output was, as in previous phases of overheating, accompanied by a marked worsening of the external position. After attaining a record surplus of 556 billion yen or 1.7 per cent of GNP (current prices, seasonally adjusted annual rate) in the first quarter of 1966, the balance began to deteriorate, switching into a small deficit (53 billion yen) in the third quarter of 1967, which widened to 270 billion yen or 0.6 per cent of GNP in the fourth quarter. The absolute deterioration (change between turning points of the balance) was the biggest ever recorded. In relative (initial GNP) terms the swing was much less pronounced than in the 1955/57 and the 1958/61 cases (2.5 per cent as compared with 5.9 and 6.7 per cent respectively). But if adjusted for differences in duration, the average quarterly deterioration in terms of GNP was roughly the same in all boom periods (—0.4 per cent in the last boom, —0.3, —0.4 and —0.6 in the preceding ones). It is also to be noted that the absolute size of the current deficit, at its quarterly peak level as well as the cumulative deficit, incurred, was much lower than in previous periods of current balance of payments deficits.

The 1967 Balance of Payments Problem

The main trends of the balance of payments during 1966 and 1967 are summarised in Tables 3 and 4. The current position started to weaken in the course of 1966; but only after the third quarter of 1966 did the deterioration assume alarming proportions, with the biggest setback recorded in the last quarter of 1967, after the first measures of adjustment had already been taken. The worsening of the balance was mostly accounted for by à sharp fall of the trade surplus, but the persistent increase in the traditional deficit of invisibles (inflated by the closure of the Suez Canal) and higher current transfers, contributed to it. The current deficit in the fourth quarter of 1967 (seasonally adjusted) was running at an annual rate of $ 0.9 billion, whilst the net outflow of long-term capital continued virtually unabated (about $ 0.9 billion, annual rate). It was only through a sizeable intake of short-term capital that the level of official reserves has been more or less maintained.

In recent years, Japan's balance of payments has become increasingly vulnerable to shifts in the international monetary situation. To a certain extent the balance of payments reverted in 1967 to the traditional pattern up to 1964, with current account deficits more or less offset by

Diagram 2 **External trade**
Seasonally adjusted



Source: Main Economic Indicators, OECD.

Table 3 **Balance of Payments**
$ million

Fiscal years	1965	1966	1967	1968 Official estimates
Exports, fob	8 591	9 793	10 573	12 150
Imports, fob	6 507	7 738	9 447	10 150
Trade balance	2 084	2 055	1 126	2 000
Services and transfers	–1 036	–1 061	–1 441	–1 400
Current balance	1 048	994	–315	600
Long-term capital	–553	–836	–726	–950
Japanese capital	524	726	926	—
Foreign capital (—: outflow)	–29	–110	200	—
Basic balance	495	158	–1 041	—
Short-term capital and unrecorded	–67	–100	506	—
Balance on non-monetary transactions	428	58	–535	–350
Commercial banks' net position	69	96	–416	—
Balance on official settlements	59	–38	–119	—

Source: The Bank of Japan.

capital imports. But since 1965 long-term capital transactions have regularly produced high—and, up to the autumn of 1967, increasing—deficits; only through short-term capital transactions was a substantial drain on the low level of official reserves avoided in 1967. In the fourth quarter of 1967 the basic deficit was running at a seasonally adjusted annual rate almost equal to the level of official reserves.

A number of specific factors aggravated the balance of payments situation in 1967. There was a conspicuous slowing down of world imports. Following a decline of the rate of growth of Japanese export markets from 13 per cent in 1965 to 11 per cent in 1966, the expansion in 1967 fell to 6.7 per cent, with the trend virtually flat during the first half of the year. In previous boom periods buoyant internal activity had coincided with slack conditions abroad only in 1960/61. A development of interest was the halt of the increase of the Japanese share in world markets. The elasticity of exports with respect to the growth of export markets fell from 2.1 in 1965 to 1.4 in 1966 and 1.0 in 1967—the lowest rate probably ever recorded in post-war history. Market shares were lost in the United States and the Sino-Soviet area and gains were marginal elsewhere except for Oceanian countries. Exports to the Sino-Soviet area, after a steep rise during the preceding five years, showed a drop of 12.3 per cent in 1967. The decline reduced the total increase of exports by 0.8 per cent.

Table 4 **Trends in Foreign Trade and Payments**
$ million

	1966				1967				1968	
	I	II	III	IV	I	II	III	IV	I	April quarterly rate
Seasonally adjusted:										
Exports, fob	2 333	2 334	2 421	2 546	2 492	2 520	2 589	2 616	2 836	2 955
Imports fob	1 693	1 775	1 888	2 022	2 064	2 217	2 332	2 473	2 422	2 400
Trade balance	640	559	553	524	428	303	257	143	414	555
Services and transfers	–287	–257	–213	–264	–327	–343	–313	–369	–418	–351
Current balance	353	303	320	260	101	–40	–56	–225	–4	204
Not seasonally adjusted:										
Trade balance	370	448	691	764	152	170	450	386	120	432
Current balance	83	191	478	499	–174	–174	137	20	–298	81
Long-term capital	–155	–129	–218	–307	–182	–182	–223	–224	–97	–84
Basic balance	–72	62	260	192	–356	–356	–86	–205	–395	–9
Short-term capital and unrecorded	65	–7	–27	–140	73	149	102	108	148	–27
Balance on non-monetary transactions	–7	55	233	52	–283	–206	16	–97	–247	–36
Commercial banks' net position	–8	65	308	23	–301	–185	63	–87	–206	—
Balance on official settlements	1	–10	–75	29	18	–21	–47	–10	–41	–204

Source: The Bank of Japan.

Table 5 **Export Performance by Markets, 1960-1967**
In per cent

		1960	1961	1962	1963	1964	1965	1966	1967
Total OECD countries:	Actual growth of Japanese exports	11.3	2.1	27.8	6.5	22.4	31.0	19.6	4.2
	of which due two: Growth of markets[1]	1.7	1.9	10.8	6.4	13.1	15.3	13.9	3.8
	Gain in shares	9.6	0.2	17.0	0.1	9.3	15.7	5.6	0.4
Of which US:	Actual growth of Japanese exports	5.4	–3.2	31.5	7.9	22.6	34.5	19.9	1.6
	of which due two: Growth of markets[1]	–0.5	–0.9	13.3	4.9	13.1	18.1	16.8	3.4
	Gain in shares	5.9	–2.3	18.2	3.0	9.5	16.4	3.1	–1.8
USSR, China and East Europe:	Actual growth of Japanese exports	2.0	41.6	117.8	18.1	53.4	23.3	28.7	–12,3
	of which due two: Growth of markets[1]	23.6	12.3	–2.5	0.2	20.9	11.2	20.3	14.0
	Gain in shares	–21.6	29.3	120.3	17.9	32.5	12.1	8.4	–26.3
Oceania and South Africa:	Actual growth of Japanese exports	71.3	–22.8	31.7	24.4	41.8	30.2	–4.2	21.0
	of whch due two: Growth of markets[1]	25.2	–10.1	7.3	11.6	21.9	11.8	–3.4	6.0
	Gain in shares	46.1	–12.7	24.4	12.8	19.9	18.4	–0.8	15.0
Developing countries:	Actual growth of Japanese exports	16.7	8.3	1.4	13.0	17.5	22.3	13.1	10.8
	of which due two: Growth of markets[1]	9.1	3.0	0.3	4.2	10.2	11.1	9.0	9.7
	Gain in shares	7.6	5.3	1.1	8.8	7.3	11.2	4.1	1.1
World (reweighted by Japanese export structure):	Actual growth of Japanese exports	17.3	4.4	16.1	10.8	22.5	26.7	15.7	6.8
	of which due two: Growth of markets[1]	5.9	2.7	3.6	7.2	11.6	13.0	11.0	6.7
	Gain in shares	11.4	1.7	12.5	3.6	10.9	13.7	4.7	0.1
	Elasticities[2]	2.9	1.6	4.5	1.5	1.9	2.1	1.4	1.0
World (simple total):	Growth of markets[1]	14.0	5.5	5.3	8.8	13.1	10.1	10.5	5.5
	Gain in shares	3.3	–1.1	10.8	2.0	9.4	16.6	5.2	1.3

1 The rate of growth of total OECD exports to the market.
2 Elasticities of actual Japanese exports with respect to the growth of market.
Source: OECD Trade Statistics and Secretariat estimates.

It should be noted that it would not be reasonable to expect anything like an uninterrupted rise in the Japanese share of world markets. Indeed, Japanese export performance has been subject to heavy cyclical fluctuations in the past. Gains in shares receded significantly when domestic demand was expanding rapidly—in 1961, 1963 and again in 1966 when the elasticity of exports with respect to the expansion of export markets amounted to about 1.4. Given the special difficulties of exporting to the Communist Bloc in 1967, last year's export performance does not seem to have been much out of line with past experience. If Japan had maintained her market share in the Sino-Soviet area in 1967 the average export elasticity would have worked out at 1.3. The most obvious general conclusion to be drawn from this analysis is that two forces were at work: the pressure of domestic demand was particularly pronounced in 1967 as suggested by the steep rise of the operating index, and the degree of slack in Japan's most important competitor countries was probably also more marked than in any other year since 1958, suggesting keener competition in world markets.[1]

An analysis of the United States market reveals two other factors which have unfavourably influenced the trend of Japanese exports in 1967. First, Japan benefited much less than in previous years from a favourable commodity composition of US imports. The structural advantage as measured by the difference in rates of growth of total US imports and that re-weighted by the commodity pattern of Japanese exports to the US diminished from 8 percentage points in 1965 to 6 points in 1966 and 1 in 1967. US demand for textiles and iron and steel contracted and demand for transport equipment slowed down sharply. Second, developing Asian countries have increasingly gained importance as potential suppliers of labour intensive products. As illustrated in Table 5, the share of exports of certain types of commodities from other Asian countries has risen remarkably quickly, notably in 1967, while Japanse shares have been stagnating or declining.

The trend of merchandise imports steepened sharply at the beginning of 1966 and remained virtually unchanged up to the end of last year, with the year-to-year rate of growth accelerating, however, from 16.6 per cent in 1966 to 22.5 per cent in 1967[2]. The most rapid increases were

1 EEC countries managed to increase their exports to the US 1.5 times as fast as the growth of US imports in 1967, as compared with 1.2 in previous years. More remarkable was the penetration of European countries into the Sino-Soviet market; the exports of EEC countries to this area (excluding Eastern Eurlpean countries) increased in 1967 by 47 per cent, whilest Japanese exports decreased by more than 16 per cent.

2 Both in relative and absolute terms the increase was much bigger than in any other OECD country, accounting for almost 30 per cent of the total rise of 5.1 per cent of OECD imports.

Table 6 **Comparative Export Performance in US Market**
Shares in US market (%)

			1964	1965	1966	1967
Textile yarn, fabrics, related products and clothing	(65,84)	Japan	25.4	26.8	27.4	25.6
		Other Far East[1]	30.0	31.8	31.6	35.1
Veneers, plywood boards and other wood worked	(631)	Japan	27.9	27.1	25.9	23.3
		Other Far East[1]	33.4	33.6	38.2	40.6
Miscellaneous telecommunications equipment (incl. TV and Radio sets)	(724-9)	Japan	32.2	38.2	39.8	33.8
		Other Far East[1]	1.0	5.4	8.6	13.1
Miscellaneous electrical machinery and apparatus (incl. lamps, transistors)	(729)	Japan	33.1	35.4	35.4	31.0
		Other Far East[1]	4.4	7.8	11.6	13.3
Perambulators, toys, games and sporting goods	(894)	Japan	48.9	43.3	42.2	37.8
		Other Far East[1]	11.5	14.0	14.8	16.4
Miscellaneous manufactured articles	(899)	Japan	22.8	21.7	21.3	19.7
		Other Far East[1]	34.0	41.8	40.7	53.0

1 Excluding China Mainland.
Source: OECD Trade Statistics, Series B.
NOTE Figures in brackets refer to SITC.

recorded for capital goods and non-food consumer goods implying some reversal of the earlier tendency of import substitution in the former case. Both categories of imports carry, however, a small weight in the total. The growth of imports of industrial materials, including intermediate products, exceeded the expansion of industrial production by a substantial margin, reflecting strong demand for inventories. In response to the good harvests the increase of food imports slowed down significantly in 1967.

On the whole, the import surge which accompanied the latest cyclical upswing was less pronounced than in previous periods of strong expansion and balance of payments deterioration. Between the first quarter of 1966 and the fourth quarter of 1967, i.e. the turning points of the external position, the share of total imports of goods and services in GNP seasonally adjusted only rose by 0.5 percentage points as compared with 1.4, 2.0 and 3.9 points in the three preceding boom periods.

The net outflow of long-term capital in 1967 almost matched the all-time high recorded in 1966. There was a shift from outflow to inflow of foreign capital. The volume of foreign untied loans increased and investment in Japanese securities resumed at a moderate scale. On the other

Table 7 **Exports by Categories**

		1964	1965	1966	1967	1967
		Percentage change from previous year				$ million
1	Industrial materials	19.0	27.9	8.7	–1.4	4 111
	of which: Iron and steel	29.6	41.9	0.2	–1.6	1 272
	Textiles	12.7	10.3	11.8	–3.0	1 122
2	Capital equipment	31.2	36.1	20.8	15.7	3 269
3	Consumer non-durables	19.5	11.2	13.8	3.5	643
	of which: Textile products	19.7	11.1	16.1	–2.4	443
4	Consumer durables	23.8	22.0	28.8	16.2	1 883
	of which: Passenger cars	94.8	50.1	51.4	43.1	250
	Motorcycles and bicycles	90.1	59.7	15.5	–16.6	176
5	Food	12.0	6.3	11.5	–2.0	369
6	Consumer goods (3 + 4 + 5)	20.4	16.4	22.2	10.6	2 895
7	Total exports	22.4	26.7	15.7	6.8	10 442

Source: Trade of Japan (monthly), Japan Tariff Association.

Table 8 **Imports by Categories**

		1964	1965	1966	1967	1967
		Percentage change from previous year				$ million
1	Industrial materials	19.1	3.8	18.1	26.5	8 217
2	Capital equipment	2.2	–14.7	7.0	29,4	995
3	Consumer non-durables	20.8	14.6	22.2	32.3	79
4	Consumer durables	46.5	20.9	19.7	18.7	154
5	Food	22.2	8.3	15.2	6.7	2 158
6	Consumer goods (3 + 4 + 5)	23.3	9.1	15.7	8.1	2 391
7	Total imports	17.8	2.9	16.6	22.5	11 663

Source: Trade of Japan (monthly), Japan Tariff Association.

hand, longer-term Japanese trade credits and the extension of yen loans continued to increase, reflecting changes in the composition of exports towards heavy equipment and higher development aid disbursements.

The deficit of almost $ 1 billion resulting from current and long-term capital transactions, was largely financed by a sharp swing on short-term monetary and non-monetary account. The balance of short-term non-

bank capital, including unrecorded transactions, switched from a deficit of $ 108 million in 1966 to a surplus of $ 433 million in 1967; at the same time the commercial banks net position deteriorated by $ 510 million after an improvement of $ 389 million in 1966. Thus, the balance on official settlements showed only a small deficit of $ 61 million in 1967. At the end of December, which marks also the end of the period of excessive expansion, net official reserves stood at $ 1.8 billion, i.e. at practically the same level as at the end of the previous boom period but $ 0.3 billion higher than at the end of 1961. The commercial bank's net foreign position has also remained relatively stable over the last three cyclical peaks. Their net foreign assets (BIS estimates) amounted to $—1 028 million at the end of 1967 as compared with $—1 185 million at the end of 1964 and $—840 at the end of 1961.

PART II

THE ADJUSTMENT PROCESS

Indicators of Adjustment

The first signs pointing towards a turn of the boom emerged around the middle of last year. Stock formation of private enterprises had reached a peak in the spring of 1967 and started tailing off thereafter, with the ratio to GNP falling from 5.5 per cent in the first quarter to 3.9 per cent in the fourth quarter. The decline would have been more pronounced had it not been for a rather important accumulation of unsold stocks. Since the autumn of last year, stocks of finished manufactures have risen faster than shipments, also pointing to an ending of the boom. At the same time, the increase of private orders for machinery, excluding ships, slowed down significantly and the steep upward trend of industrial construction starts flattened out. The expansion of private productive investment (national accounts basis, current prices) slowed down from an average quarterly rate of 10 per cent in the first half to about 4.5 per cent in the second half of last year, even though the former sharp rise of unfilled orders of investment goods continued virtually unabated until the end of the year.

The weakening of the investment boom and its impact on output and imports became manifest in the early months of 1968. Between the fourth quarter of 1967 and the first quarter of 1968 the growth of industrial production (quarter to quarter) slowed down from a seasonally

adjusted annual rate of more than 20 per cent to about 8 per cent, while merchandise imports (c.i.f., customs basis) contracted at an annual rate of almost 15 per cent, following a rise of more than 30 per cent. Reflecting the easing of domestic demand pressure and favourable market conditions abroad, exports increased by as much as 30 per cent (annual rate) in the first quarter, exceeding the level of a year earlier by 14.5 per cent. The easing of demand pressure was also felt on prices. The trend of wholesale prices of manufactures has been flat since the end of 1967 and the rise of consumer prices, excluding seasonal factors, has slowed down following a sharp acceleration up to the end of last year.

There is, however, no evidence as yet of a weakening trend of private consumption and residential construction. Indeed, the retail sales index (including department stores) exhibited a particularly steep rise during the last three months covered by statistics (December/February), with the seasonally adjusted annual rate of growth amounting to as much as 26 per cent in nominal terms. The upward trend of housing starts (estimated building costs) continued unabated up to the end of the year, exceeding in the fourth quarter the level of the previous year by about 38 per cent. Labour market conditions continued to tighten up to the beginning of this year but have since shown some easing with the ratio of job vacancies to job seekers declining from 1.18 in January to 1.01 in April. The index of monthly earnings of regular workers in manufacturing of late has risen steadily, in March exceeding the level of a year earlier by 14.9 per cent, compared with an average rise of 13.5 per cent in 1967.

Despite the continued vigorous rise of important elements of private demand and, probably, government spending, the balance of payments has shown a remarkable improvement in the first four months of 1968. The trade surplus (f.o.b., seasonally adjusted monthly average) increased from $ 46 million in the fourth quarter of 1967 to $ 150 million in the first four months of 1968, regaining the level of a year earlier and exceeding the rising deficit on services and transfers.

Movements on short- and long-term capital account also helped to improve the balance of payments position. The net outflow of long-term capital in the January-April period ($ 125 million) was only half as big[1], and the net inflow of short-term non-monetary capital ($ 137 million, including unrecorded transactions) was three times as big as a year earlier. Thus, the balance on non-monetary transactions (after seasonal adjustment of the current transactions component) swung back

1 The resumption of bond issues in Europe accounted for $ 35 millions of the improvement.

into a surplus position after nine months of rapidly growing deficits. However, with seasonal factors adverse, the drain on foreign exchange reserves continued during the January/April period, with the main impact again falling on commercial bank assets. Official reserves at the end of April stood at $ 1 894 million—$ 198 million lower than a year earlier. The deterioration of the commercial banks' net foreign asset position amounted to $ 416 million over the twelve months to March.

The Role of Economic Policies

From the spring of 1967 the Bank of Japan gradually tightened its policy through open-market operations and warnings to commercial banks. In September 1967 the official discount rate was raised from 5.48 per cent to 5.84 per cent after remaining unchanged for more than two years. At the same time " window guidance ", which had been suspended during the low interest period, was re-introduced. The guideline for the maximum permissible credit expansion of City banks during the October/December period was set at 15 per cent less than the actual credit expansion a year earlier. The bigger mutual and local banks were also requested this time to cooperate in limiting credit expansion[1]. The restrictive measures have been further strengthened since the beginning of 1968. The official discount rate was raised by another 0.365 per cent in January and banks were requested to keep their credit expansion 29 per cent below that recorded a year earlier for the January/March period and 22 per cent below for the April/June period[2]. Call money rates had already started rising in the middle of 1967 and the previous downward trend in average interest rates for loans and discounts of all banks was reversed in September in response to the rise of the official discount rate and movements in international financial markets.

A tighter line was also adopted in the fiscal field. The original budget for fiscal year 1967, voted in the spring of 1967, had been framed to keep the effects of public finance " neutral ", with smaller increases in expenditures than previously, smaller tax cuts and only a marginally greater deficit. Given the prevailing conditions and prospects at the time of preparation, the budget appeared adequate; but the boom

1 Moreover, the Bank of Japan decided in late autumn to allow commercial banks to borrow Euro-dollars for more than one year, and reached an agreement with the Federal Reserve Bank of New York to raise the swap ceiling $ 300 million. In March the ceiling was raised by another $ 250 million.

2 The variation of the credit ceiling does not imply any important change of the maximum permissible trend rate of credit expansion which works out at 8.8, 9.2 and 8.4 respectively (seasonally adjusted annual rates) for the three quarters concerned.

Table 9 **Public Finance**
Billion yen

	FY1961	FY1962	FY1963	FY1964	FY1965	FY1966	FY1967	FY1968
1 General account expenditure	2 064	2 557	3 044	3 311	3 723	4 459	5 203	5 819
2 General account expenditure, percentage change from previous year	18.4	23.9	19.1	8.8	12.4	19.8	16.2	11.8
National accounts basis:								
3 Public consumption	1 625.6	1 931.2	2 320.3	2 648.7	3 086.1	3 509.6	4 000.0	4 550.0
4 Government gross fixed asset formation	1 731.5	2 198.6	2 486.9	2 734.2	3 226.4	3 768.8	4 550.0	5 000.0
5 Change in stocks	–14.6	–13.5	–39.1	58.7	93.5	127.2		
6 Total expenditure on goods and services	3 342.5	4 116.3	4 768.0	5 477.6	6 406.0	7 405.6	8 550.0	9 550.0
7 Current transfer payments	776.2	901.0	1 092.2	1 320.3	1 578.1	1 920.0	2 237.0	2 534.5
8 Total income effective spending (6 + 7)	4 118.7	5 017.3	5 860.2	6 789.0	7 984.1	9 325.6	10 787.0	12 084.5
9 Current revenue	4 168.0	4 596.4	5 349.3	6 043.0	6 622.2	7 613.8	9 007.1	10 178.0
10 Balance of income effective transactions (9 — 8)	49.3	–420.9	–510.9	–755.0	–1 361.9	–1 711.8	–1 779.9	–1 906.5
Ratios:								
11 Share of public sector's spending on goods and services in GNP	17.3	19.4	19.3	19.2	20.4	20.2	20.0	20.0
12 Share of government current revenue (net of current transfers effected) in GNP	17.6	17.2	17.2	16.5	16.1	15.5	15.9	16.0

Source: Annual Report on National Income Statistics, EPA; Ministry of Finance.

NOTE Figures through FY 1966 refer to actual results, those for FY 1967 to final budget estimates (line 1)and EPA and Secretariat estimates (lines 3-10), and those for FY 1968 to initial budget estimates and EPA and Secretariat forecasts.

proved much stronger and the balance of payments much worse than expected. The Government decided in July to reduce the proposed issue of long-term national bonds by 70 billion yen (from the originally planned 800 billion yen) and in September to postpone about 300 billion of the planned spending mainly on public works, including local authorities and government enterprises, or 0.7 per cent of GNP[1]. The traditional supplementary budget, introduced in December 1967, added about 250 billion yen to the expenditures foreseen in the initial budget. The increase was largely met by tax revenues in excess of original estimates. The size of the additional appropriations was rather big (5 per cent of the initial estimates compared with 3.8 per cent in fiscal year 1966) due to disbursements on Food Control Account inflated by higher prices, higher salaries for government employees, etc.

Despite the decision to postpone spending on public works, the rate of increase of government fixed investment and current expenditure accelerated in the fourth quarter of 1967 and also, probably, in the first quarter of 1968, in response to the delay caused by the late parliamentary approval of the 1967 budget. Inventory investment in government enterprises also accelerated in the latter half of the year reflecting the increased purchases of rice by the Food Control Account. In spite of a strong rise in tax revenue the size of deficit spending of general government (current expenditure + fixed investment + stock formation — current revenue) in the April/December period of 1967 was bigger (1 369 billion yen) than in the corresponding period a year earlier (1 225 billion yen).

Table 10 Tax Cuts
Billion yen

	1963	1964	1965	1966	1967	1968
Income taxes	66.8	74.5	65.4	158.3	92.5	125.1
Corporate taxes	+12.8	58.6	56.6	98.7	30.3	—
Other direct taxes	—	4.5	0.5	15.0	3.1	—
Direct taxes	54.0	137.6	122.5	272.0	125.9	125.1
Indirect taxes	+4.2	+24.8	+10.9	38.6	+31.9	+57.1
National taxes	49.8	112.8	111.6	310.6	94.0	68.0
Local taxes	18.3	55.7	8.7	47.0	18.4	20.7
Total	68.1	168.5	120.3	357.6	112.4	88.7

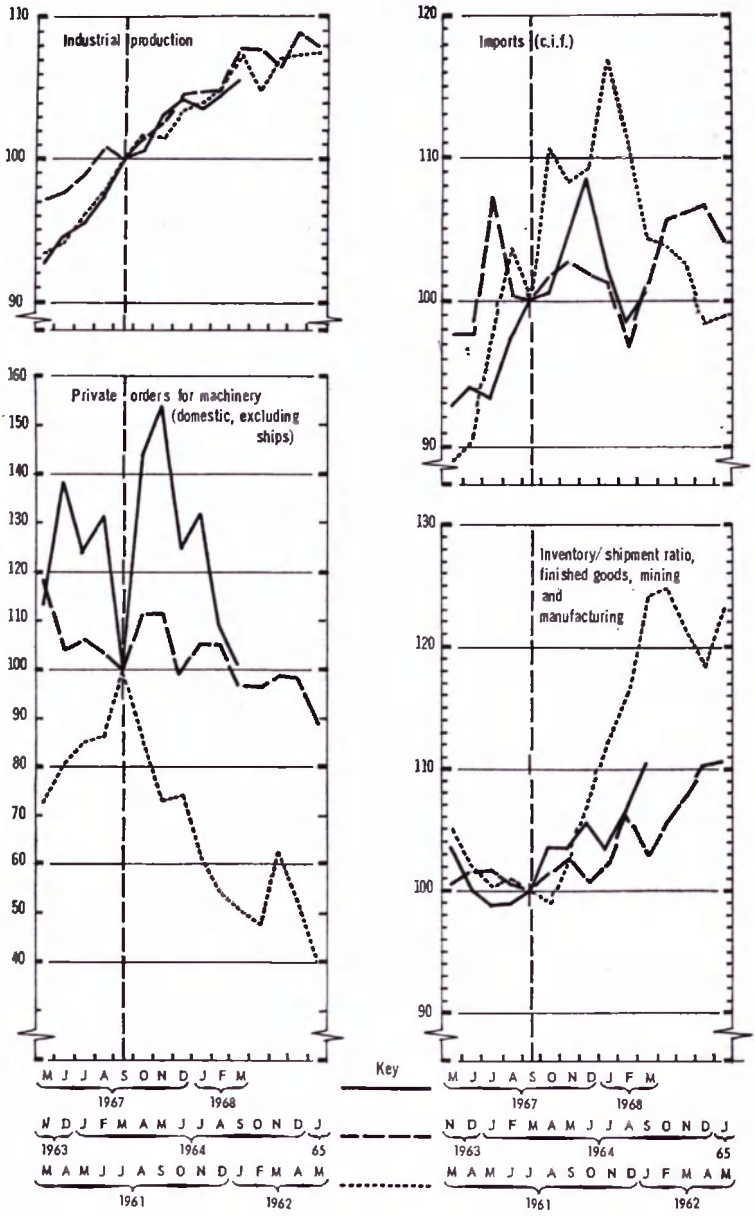
Source: Ministry of Finance.

NOTE The amount of tax cut is calculated on a full-year basis as the difference between estimated tax revenues with and without changes in tax system. (+) signs indicate increase in tax.

1 About half of this represents the usual amount to be carried over to next year due to institutional delays.

Diagram 3 **Comparative behaviours of business indicators During periods of adjustment**

Start of the tight money policy = 100



Sources: Economic Statistics Monthly, The Bank of Japan and Business Cycle Indicators, Economic Planning Agency.

The response of the economy to the restrictive measures taken since the early autumn of 1967 seems neither slower nor weaker than in previous cases. This is the more remarkable as policies were shifted towards restraint at a relatively early stage of the boom and the initial steps taken were not particularly severe. Furthermore, the economy was apparently less dependent on bank borrowing at the time when the deflationary line of policy was adopted. However, 3 to 4 months after the beginning of the tight monetary policy, imports levelled off, the expansion of industrial production slowed down significantly and the labour market began to ease. Similar, or even bigger, lags were experienced in previous adjustment periods. Important leading indicators such as new orders for machinery and the ratio of inventories of finished goods to shipments followed roughly a similar pattern.

On the whole, the policy mix applied since last autumn to improve the balance of the economy has proved successful. However, in assessing the role of policy measures in the adjustment process, changes in the international environment have to be taken also into consideration. Business expectations have been importantly affected by measures taken or announced by other countries to strengthen their balance of payments position. The repercussions of the November devaluations and the US balance of payments programme on business judgement seem to have been very strong. Business circles and public opinion in general have been particularly anxious about the negative effect on the world economy which would result from a general rise in interest rates and an introduction of restrictive trade measures in the US. At the same time, the rapid improvement of the Japanese current balance has been importantly assisted by the upsurge of US imports in the early months of 1968, and developments in Western Europe.

Part III

PROSPECTS

According to the official economic outlook for FY 1968, approved by the Cabinet in January, the growth of GNP (in volume) will slow down to 7.6 per cent; this forecast was based on an estimated rate of growth in FY 1967 of 11.6 per cent, which is likely to be exceeded by 1-2 percentage points. The expansion of industrial output is estimated to decelerate, from 19 to 9 per cent. With a steepening trend of exports

and imports rising at a moderate pace, the current balance of payments is expected to swing from a deficit of $ 315 million to a surplus of $ 600 million[1]. The net outflow of long-term capital is forecast to reach $ 950 million.

The FY 1968 has been officially announced as a " year of adjustment ". In this sense, the official outlook indicates a target and provides guidelines for economic policy. Monetary conditions are to be kept sufficiently tight to discourage the accumulation of stocks and to reduce the annual rate of growth of private productive investment to less than 10 per cent, which compares with an initial estimate of 27.5 per cent and a probable actual rate of 33 per cent for FY 1967. Continuous efforts are to be made to tighten fiscal policies and to implement the budget as flexibly as possible.

The general account budget enacted in mid-April envisages an 11.8 per cent increase of expenditure on the previous year's supplemented budget[2]. The rate of growth is much lower than the 16.2 per cent forecast for fiscal year 1967 and, indeed, the lowest in the past ten years except for 1964. The net revenue loss resulting from tax changes is estimated to be smaller than in FY 1967 (89 billion yen as against 112 billion yen on a full year basis, including local taxes). The cut in personal income taxes is bigger, but the rise in indirect taxes on alcoholic drinks and certain consumer durables (including colour TV sets and cars) etc., is more important. Net receipts from corporate taxes are expected to remain stable, after net cuts of 30 billion yen in the previous fiscal year. National bond issues are planned to be somewhat smaller than actual issues in fiscal year 1967 (640 billion yen as against 720 billion yen). The increase in the Financial Loan and Investment Programme has been restricted to 13 per cent compared with the initial 1967 programme (which had been 18 per cent up on 1966)—again the lowest rate of increase in the past decade. The overall budget for local governments implies virtually the same rate of increase of expenditure as that of the general account budget.

On a national accounts basis, total government expenditure on goods and services is foreseen to increase by 11.7 per cent in fiscal year 1968, slightly less than the rate of growth of GNP, and transfer payments by 13.3 per cent as compared with probable increases of 15.5 per cent and 16.5 per cent respectively in the previous fiscal year. The rate of increase of capital expenditure is estimated to slow down from

1 The deficit in FY 1967 was in January estimated at $ 230 million.
2 Unlike previous years, the 1968 initial budget includes reserve items to meet usually large supplementary requirements.

Table 11*a* **Official Economic Outlook**

Fiscal years, percentage changes from previous year — current prices

	1966	1967			1968
	Actual	Outlook in March 1967	Preliminary Estimates in Jan. 1968	Provisional Results	Outlook in Jan. 1968
Consumers' expenditure	12.8	13.1	15.2		14.0
Private gross investment	29.4	16.1	25.4		5.7
Residential construction	15.6	19.5	23.4		20.8
Equipment and construction other than residential	17.5	14.8	27.5		9.7
Change in stocks (in per cent of GNP)	(3.4)	(2.7)	(3.5)		(1.9)
Government expenditure	15.6	12.8	15.5		11.7
Current	13.7	11.5	14.0		13.8
Capital	16.8	14.0	16.8		9.9
Current external surplus (in per cent of GNP)	(1.1)	(1.0)	(–0.1)		(0.6)
Exports	15.3	11.0	8.6		14.1
Imports	17.1	13.6	20.9		7.3
GNP	16.9	13.4	16.4		12.1
GNP, volume	12.3	9.0	11.6		7.6
Industrial production, volume	17.1	14.0	19.0	18.7	9.0
Wholesale prices	2.7	1.2	1.5	1.5	1.0
Consumers' prices	4.7	4.5	4.5	4.2	4.8
Customs statistics					
Exports	14.2	11.0	7.9	8.2	14.9
Imports	19.0	14.8	20.5	20.3	8.5

Source: Outlook and Basic Policy for the National Economy, Fiscal Year 1967, March 1967, Fiscal Year 1968, Jan. 1968, EPA.

Table 11*b* **Official Economic Outlook** (*continued*)
Fiscal years, $ million—current prices

	1966	1967			1968
	Actual	Outlook in March 1967	Preliminary estimates in Jan. 1968	Provisional results	Outlook in Jan. 1968
BALANCE OF PAYMENTS:					
Current balance	994	950	–230	–315	600
Trade balance	2 055	2 050	1 200	1 126	2 000
Exports	9 793	10 950	10 550	10 573	12 150
Imports	7 738	8 900	9 350	9 447	10 150
Services, balance	–901	–950	–1 420	–1 264	–1 200
Transfers, balance	–160	–150	–190	–177	–200
Long-term capital	–836	–950	–820	–726	–950
Short-term capital and errors and omissions	–100	—	350	506	—
Overall balance	58	0	–700	–535	–350

Source: Outlook and Basic Policy for the National Economy, Fiscal Year 1967. March 1967, Fiscal Year 1968, Jan. 1968, EPA.

17 per cent to 10 per cent (allowing for an unusually large carry-over from the previous year of 120 billion yen due to the decision in September 1967 to defer a part of the public work programme). The rise of current revenues of general government is estimated to slow down from 18 per cent in fiscal year 1967 to 13 per cent, primarily because of less buoyant corporate tax receipts. As a result, the overall deficit on a national income basis is forecast to increase by about 127 yen million or 0.3 per cent of GNP after remaining virtually stable in FY 1967.

To lessen the pressure on the economy in the earlier part of the fiscal year, efforts are likely to be made to keep outlays for public works in the April-June period below the previous year's level. Disbursements for the rest of the fiscal year are to be decided later in accordance with the progress of the adjustment process and the improvement in the balance of payments position.

As to private demand components during the current fiscal year, the official forecast rates of growth imply a virtually unchanged trend of consumption, a moderate slowing down of residential construction, a continuation of the weakening stockbuilding activity and some decline of private productive investment during the latter half of the year. The improvement of the foreign balance is, however, expected to be sufficient to keep the volume growth of GNP up to an annual rate of about 6 per cent during the current fiscal year from the level reached in January-March 1968. This implies a much less drastic slowing down of economic activity than was experienced during the last recessionary period (1964 III - 1965 IV), when the expansion of real output was cut down to an annual rate of 2.6 per cent.

The overall picture as presented by the official outlook has, to date, by and large been confirmed by current indicators. But important uncertainties remain about the timing and the pattern of the adjustment process. A number of available investment indicators suggest that the official forecast underestimates the underlying strength of the recent investment boom. Outstanding orders for machinery (excluding ships) were still high up to January, exceeding the previous year's level by as much as 47 per cent. In February, bigger firms have announced very ambitious investment plans for the FY 1968. A rather comprehensive enquiry conducted by the Economic Planning Agency shows that corporations with more than 10 million yen paid-in capital (31 000 enterprises) were planning to increase their investment (implementation basis) by 12.7 per cent with corporations of more than 100 million yen intending an increase of 15.7 per cent. On a payments basis, the forecast rates of growth ranged between 12.9 per cent (Bank of Japan enquiry

covering 503 corporations) and 30.9 per cent (survey of the Ministry of International Trade and Industry covering 1 800 corporations); after consultations the latter rate was adjusted downwards to 17 per cent.

Even allowing for the fact that investment intentions surveys on a payments basis tend to exaggerate actual investment plans in post-boom periods and that the implementation ratio of plans may also be relatively low, the willingness to invest seemed still high at the beginning of 1968. The actual trend of private productive investment during the first six months of tight monetary policy was remarkably steep, with quarterly rates of growth of 6.6 per cent in October-December and probably more than 4 per cent in the January-March period. The turning point of the investment boom may be reached later than would seem to be implied by the official forecast. But a higher average level of private productive investment would not necessarily suggest a higher rate of growth of output. The downward trend of the stock cycle may well prove more pronounced than officially forecast and the expansion of private consumption is unlikely to continue at the same rapid rate as experienced during FY 1967.

Even though the period of the investment boom (or the braking distance of the tight money policy) may be somewhat longer than expected by the Japanese authorities, the external adjustment process may prove faster than anticipated in the official outlook. The official estimates point to a weaker basic external balance than actually prevailing in the January-April period when the trade surplus (f.o.b.) was already running at a seasonally adjusted annual rate of $ 1.8 billion and the basic deficit below the level predicted for the FY 1968. To attain the average level forecast for FY 1968, merchandise imports would have to increase at an average quarterly rate of about 2.3 per cent throughout the current fiscal year—a rate conspicuously higher than the forecast quarterly trend rate of 1.5 per cent for industrial production. Furthermore the expansion of exports may prove stronger than officially foreseen, though caution may be warranted given the uncertain prospects for US imports.

The high deficit on long-term capital account ($ 950 million) is unlikely to materialise unless major unfavourable developments take place in the international money and capital markets. In FY 1967 long-term capital transactions produced a deficit of $ 726 million representing an improvement of about $ 110 million on FY 1966. The decline of the outflow was fully accounted for by the relatively low deficit ($ 97 million) recorded in the January-March 1968 period, less than half the rate registered on average in the preceding six quarters.

The favourable tax treatment of proceeds from foreign bond issues introduced last April[1], the easing of restrictions and the foreign borrowing plans of private companies, municipalities and government funds, so far known, strongly suggest a continuation of high borrowing abroad for some time. The net outflow of Japanese capital—particularly in the form of long-term export credits and development aid disbursements—should also accelerate, but is unlikely to exceed the net inflow of foreign capital by as much as in FY 1967. With current transactions probably yielding a bigger surplus than foreseen in the official economic outlook, the basic balance may well show a surplus suggesting that FY 1968 is likely to see a recovery of the balance of payments without submitting the economy to another marked recession.

PART IV

CONCLUSIONS

The last business upswing, which may have reached its upper turning point before the middle of 1968, has followed virtually the pattern well known from previous experience. Economic policy measures induced a vigorous expansion in early 1966. The balance of payments began to deteriorate progressively, prompting the authorities to resort to restrictions in the early autumn of last year. Six or seven months after the first measures of restraint, the boom appears to have been brought under control with the external balance almost in equilibrium.

Economic policy has played a very active and effective role in managing the economy during the last recovery and boom period. When private activity failed to react to the relaxation of monetary conditions, important changes in budgetary policies were introduced. The tradition of balancing total general account expenditure by current receipts was abandoned and a wider range of techniques applied to improve the flexibility of public finance as a counter-cyclical instrument. The change in budgetary attitudes greatly helped to restore business confidence. Once the recovery had been put on a firm footing, the authorities shifted policies from stimulus to neutrality and later to restraint, when balance of payments difficulties emerged. Restrictive

1 Private Japanese bonds issued abroad during the current and the following fiscal year will be exempt from a 10 per cent withholding tax.

measures have been taken somewhat earlier than in previous periods of overheating and the response of the economy has not been slower than experiencd on previous occasions.

A number of specific circumstances have contributed to the impressive performance of the Japanese economy during the past two years. Conditions for the revival of investment activity were particularly favourable at the beginning of 1966. By that time the demand gap had been greatly narrowed and the liquidity, profit and cost situation started to improve. Large scale rationalisation projects had been postponed during the period when capacity was being adjusted to demand, and wage push coupled with the secular tightening of the labour market had strengthened the underlying propensity to invest. Thus, the reorientation of fiscal policies towards expansion could relatively easily spark off a powerful investment boom.

Although the investment boom was more pronounced than its predecessor in 1963/64, it was well balanced and the time sequence has been very fortunate. It started in the small and medium sized enterprise sector and spread gradually to the larger corporations. On the whole, entrepreneurs seem to have tried to avoid building up excess capacity as in the 1960/61 boom. In fact, the rate of growth of capacity remained, throughout the upswing, conspicuously below the growth of current sales. Labour productivity was stepped up importantly. The increase in output per employee in manufacturing was the highest ever recorded during a boom phase, with unit labour costs falling appreciably.

The balance of payments difficulties, which ultimately forced the authorities to resort to restrictive measures, cannot be totally attributed, as in previous boom periods, to an overheating of the economy. The current deficit at its peak level was comparatively small and, to an important degree, reflected sluggish world demand. But given the persistently high net outflow of long-term capital since 1965, and the relatively low level of reserves, the authorities could not tolerate a continuation of a large basic account deficit for a longer period. This prompted the authorities to apply braking measures before the internal expansion had become excessive.

The balance of payments adjustment process may, this time, be achieved without submitting the economy to another recession. The investment boom appears to be in the process of being curbed and export capacity in most industries appreciably increased. With imports stabilised and the growth of exports accelerating as a result of economic recovery in Western Europe and buoyant US demand, the current

balance is likely to show an important surplus in the current fiscal year. But there is still need, however, to offset, partly by long-term borrowing, the growing outflow of Japanese long-term export credits and development aid disbursements, so as to reduce the dependence on short-term borrowing and eventually strengthen the external reserve position. Considering however that there are many uncertainties in the future prospects of world trade and borrowing abroad, it is advisable for the Japanese authorities to maintain careful demand management policies in order to preserve a healthy balance of payments, without neglecting the need to lessen the amplitude of cyclical fluctuations and, in particular, to avoid a prolonged stagnation of private productive investment.

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STATISTICAL ANNEX

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Table A National Product

	1963	1964	1965	1966	1967	1963	1964	1965	1966	1967
	Yen billion at current prices					*Yen billion at 1960 prices*				
EXPENDITURE:										
Private consumption	13 195	15 043	17 022	19 237	21 848	11 252	12 380	13 148	14 255	15 573
Public consumption	2 219	2 583	2 928	3 389	3 808	1 651	1 824	1 854	1 998	2 106
Gross fixed asset formation	7 715	9 195	9 666	11 045	13 694	6 944	8 083	8 257	9 039	10 663
Private	5 329	6 531	6 611	7 377	9 696	4 908	5 908	5 863	6 323	7 967
Government	2 386	2 664	3 055	3 668	3 998	2 035	2 175	2 394	2 716	2 696
Change in stocks	764	1 108	521	922	2 291	755	1 074	472	821	2 037
Foreign balance	–264	–147	366	499	–3	–161	14	507	710	125
Gross National Product at market prices	23 628	27 782	20 504	35 092	41 638	20 441	23 374	24 238	26 823	30 503
	Yen billion at current prices					*Percentage distribution*				
INDUSTRIAL ORIGIN:										
Agriculture, forestry, fishing	2 439	2 560	2 901	3 279	3 852	12.6	11.6	11.8	11.6	11.6
Mining and manufacturing	5 793	6 622	7 009	8 055	9 752	30.0	30.0	28.6	28.6	29.4
Construction	1 249	1 519	1 739	2 014	2 443	6.5	6.9	7.1	7.2	7.4
Public administration	889	1 010	1 148	1 241	1 390	4.6	4.6	4.7	4.4	4.2
Other services (incl. public utilities)	8 984	10 408	11 789	13 671	15 816	46.6	47.3	48.1	48.7	47.8
Net factor income from abroad	–66	–98	–99	–99	–109	–0.3	–0.4	–0.4	–0.4	–0.3
Net National Product at factor cost	19 287	22 021	24 485	28 160	33 144	100.0	100.0	100.0	100.0	100.0
	Yen billion					*Percentage distribution*				
FACTOR SHARES:										
Compensation of employees[1]	10 332	11 968	13 766	15 822	18 314	53.6	54.4	56.3	56,1	55.3
Income from unincorporated enterprises	4 722	5 235	5 766	6 353	7 457	24.5	23.8	23.5	22.6	22.5
Income from property	1 961	2 291	2 643	3 046	3 530	10.2	10.4	10.8	10.8	10.7
Corporate saving	962	1 192	956	1 459	2 194	5.0	5.4	3.9	5.2	6.6
Direct corporate taxes[2]	1 047	1 164	1 248	1 300	1 569	5.5	5.3	5.1	4.6	4.8
Government income from property and entrepreneurship[3]	263	171	107	180	81	1.4	0.8	0.5	0.6	0.4
National Income at factor cost	19 287	22 021	24 485	28 160	33 144	100.0	100.0	100.0	100.0	100.0

1 Net of interest on consumers' debt.
2 Including other income transfers.
3 Net of interest on public debt.

Source: Annual Report on National Income Statistics, Economic Planning Agency (EPA).

Table B **Output and Demand Indicators**
Seasonally adjusted

	Unit or Base	1964	1965	1966	1967	1967 I	1967 II	1967 III	1967 IV	1968 I
Industrial output and employment:	1965 = 100									
Production of mining and manufacturing	—	96.4	100.0	113.2	135.2	125.9	131.4	138.2	145.4	148.1
Iron and steel	—	97.3	100.0	115.6	149.6	141.1	146.5	154.8	156.0	161.8
Machinery	—	98.5	100.0	116.1	151.0	136.9	143.6	154.7	169.0	172.8
Chemicals	—	91.2	100.0	113.0	132.3	124.6	128.6	135.0	140.6	144.8
Textiles	—	93.4	100.0	110.1	120.0	116.2	118.0	120.7	124.9	125.1
Durable consumer goods	—	104.2	100.0	120.7	157.8	146.1	148.6	160.8	175.2	183.0
Non-durable consumer goods	—	94.7	100.0	110.0	117.7	111.6	115.2	119.6	125.0	121.0
Investment goods	—	95.3	100.0	111.6	144.0	128.6	137.4	148.4	161.8	163.1
Construction materials	—	97.7	100.0	113.4	133.6	126.6	132.9	135.7	138.4	149.9
Other materials	—	95.8	100.0	114.1	135.7	128.6	132.8	138.3	142.8	148.3
Employment[1]	—	97.8	100.0	100.4	102.5	101.4	102.0	102.8	103.8	104.4
Monthly hours worked[1]	—	102.1	100.0	100.6	101.0	101.5	100.9	100.8	101.0	100.7
Capacity utilisation ratio[1]	—	106.1	100.0	106.5	115.6	114.3	115.5	115.3	117.1	118.0
Investment indicators:										
Inventories in manufacturing	1965 = 100									
Finished goods held by producers	—	88.1	100.0	104.1	112.5	106.1	110.6	112.6	121.5	128.8
Materials	—	94.9	100.0	104.0	122.7	112.9	122.8	126.1	128.3	131.7
Orders for machinery, excl. ships	Billion yen									
Private domestic orders	—	795	726	879	1 477	318	375	377	422	350
Total outstanding orders	—	957	960	1 123	1 664	1 217	1 373	1 503	1 645	169.9
Construction starts	Billion yen									
Residential	—	964	1 161	1 315	1 739	377	422	436	485	538
Non-residential	—	1 306	1 095	1 149	1 589	300	389	459	452	395
Consumption indicators:										
Retail sales	1965 = 100	90.9	100.0	110.5	125.8	117.9	122.8	127.7	132.2	141.1
Real consumption levels	1960 = 100									
Urban households	—	125.0	126.6	131.5	138.6	135.3	140.2	141.1	136.9	138.1
Rural households	—	130.8	137.5	143.8	156.7	144.8	155.8	159.4	165.4	

1 Manufacturing only.

Sources: Ministry of International Trade and Industry, EPA, Ministry of Construction and Statistics Bureau.

Table C Prices and Wages

1965 = 100

	1966	1967	1966				1967				1968
			I	II	III	IV	I	II	III	IV	I
Wholesale prices:											
Total	102.4	104.3	101.7	102.1	102.7	103.2	104.2	103.6	104.0	105.2	105.5
Durable consumer goods	99.7	99.6	99.8	99.6	99.7	99.7	99.8	99.7	99.6	99.2	99.3
Non-durable consumer goods	102.7	105.2	102.8	102.1	102.3	103.6	103.7	103.6	105.3	108.4	108.8
Investment goods	100.6	101.3	100.5	100.3	100.7	100.8	101.1	101.4	101.4	101.5	101.8
Materials and fuels	103.3	105.6	102.1	103.0	103.8	104.4	106.1	104.9	105.2	106.2	106.5
Manufactured goods	101.7	102.9	100.8	101.5	102.1	102.4	103.1	102.6	102.8	103.2	103.4
Non-manufactured goods	105.7	110.3	105.5	104.7	105.1	107.3	109.3	108.1	109.7	114.2	115.1
Consumer prices:											
Total	105.1	109.3	103.8	105.1	105.2	106.2	108.2	108.1	108.6	112.1	113.9
Foods	103.9	108.9	104.3	103.9	103.2	104.4	108.7	106.6	107.0	113.2	116.6
Housing	105.0	110.0	103.1	104.5	105.7	106.5	108.1	109.8	110.6	111.6	112.6
Fuel and light	101.1	100.6	101.4	101.1	100.8	101.1	100.8	100.5	100.1	101.0	101.5
Clothing	103.6	106.5	101.7	102.8	103.6	106.4	104.6	105.6	105.9	109.9	108.4
Miscellaneous	108.1	112.2	104.6	108.8	109.2	109.6	110.3	112.1	112.7	113.6	114.9
Monthly earnings, manufacturing (seasonally adjusted)	111.6	126.7	106.2	109.7	112.4	115.9	119.2	124.4	127.5	132.0	136.3

Sources: Ministry of Labour and Statistics Bureau.

Table D **Money and Banking**
billion yen, end of period

	1964	1965	1966	1967	1966 I	1966 II	1966 III	1966 IV	1967 I	1967 II	1967 III	1967 IV	1968 I
Money supply:													
Total primary liquidity	8 704	10 287	11 716	13 369	10 065	10 073	10 376	11 716	11 378	11 485	11 648	13 369	12 946
Cash currency	1 987	2 264	2 589	3 114	1 943	2 075	1 999	2 589	2 288	2 447	2 376	3 114	2 738
Deposit currency	6 717	8 023	9 127	10 255	8 123	7 998	8 377	9 127	9 089	9 038	9 273	10 255	10 208
Near money	12 818	15 107	17 807	20 729	15 622	16 282	17 126	17 807	18 353	19 043	20 013	20 729	21 223
Domestic credit granted by deposit money banks:													
To the private sector	23 183	26 785	31 227	36 308	27 476	28 054	29 497	31 228	32 122	32 988	34 559	36 308	37 070
To the Government[1]	961	1 355	2 038	2 248	1 510	1 733	1 803	2 038	2 008	2 139	2 046	2 248	2 255
Domestic liabilities of deposit money banks:													
Demand depositts	6 717	8 023	9 127	10 255	8 123	7 998	8 377	9 127	9 089	9 038	9 272	10 255	10 208
Time and saving deposits	12 818	15 107	17 807	20 729	15 622	16 282	17 126	17 807	18 353	19 043	20 013	20 729	21 223
Credit from monetary authorities	1 173	1 273	1 652	1 482	1 563	1 499	1 556	1 652	1 762	1 646	1 664	1 482	1 675
Bank debentures, issued	1 174	1 387	1 686	2 252	1 333	1 450	1 557	1 686	1 840	2 016	2 128	2 252	2 317
Interest rates:													
Official discount	6.57	5.48	5.48	5.84	5.48	5.48	5.48	5.48	5.48	5.48	5.84	5.84	6.21
Call money (Tokyo, unconditional)	10.95	5.84	5.84	7.30	5.84	5.84	5.84	5.84	6.21	6.21	6.94	7.30	8.03
City Banks, loans and discounts	7.73	7.23	6.98	7.00	7.16	7.10	7.03	6.98	6.93	6.89	6.91	7.00	7.20
Long-term Credit Banks, loans	8.97	8.83	8.57	8.41	8.75	8.71	8.68	8.57	8.51	8.47	8.42	8.41	8.41
Bond yields:													
Industrial bonds	7.47	7.49	7.49	7.49	7.51	7.48	7.47	7.49	7.51	7.49	7.49	7.49	7.48

1 Including local governments.

Source: Economic Statistics Monthly and Economic Statistics Annual, Bank of Japan.

Table E Balance of Payments
$ million

	1961	1962	1963	1964	1965	1966	1967
Trade balance	–558	402	–165	375	1 901	2 273	1 158
Exports, fob	4 149	4 861	5 391	6 703	8 333	9 639	10 228
Imports, fob	4 707	4 459	5 556	6 328	6 432	7 366	9 070
Services, net	–382	–421	–568	–783	–884	–886	–1 172
Of which: Transportation	–475	–412	–416	–449	–525	–609	–815
Investment income	–48	–92	–119	–196	–189	–187	–178
Government services	382	366	339	309	309	443	475
Transfers, net	–42	–30	–46	–72	–86	–135	–178
CURRENT BALANCE	–982	–49	–779	–480	931	1 252	–192
Change in long-term assets abroad	312	310	298	451	447	706	874
Direct investment	93	77	122	57	77	105	123
Trade credits	169	196	104	336	243	403	481
Loans	27	13	60	49	114	147	221
Securities	1	—	—	—	1	2	3
Others	22	24	12	9	12	49	46
Change in long-term foreign liabilities	302	482	765	558	33	–103	62
Direct investment	44	45	88	84	45	30	45
Trade credits	—	37	58	81	–9	–29	–32
Loans	181	270	382	255	20	–20	28
Securities	77	130	268	170	13	–50	57
Of which: issued abroad	40	72	154	155	73	–26	–12
Others	—	—	–31	–32	–36	–34	–36
Balance of long-term capital	–10	172	467	107	–414	–809	–812
Balance of non-monetary short-term capital	21	108	107	233	–62	–64	507
Of which: Trade credit	8	54	62	185	22	–31	486
Errors and omissions	19	5	44	10	–51	–44	–74
BALANCE ON NON-MONETARY TRANSACTIONS	–952	236	–161	–130	404	335	–571
Change in official gold and foreign exchange reserves	–338	355	37	121[1]	108	–33	–69
Change in other net foreign assets	–614	–119	–198	–251	296	368	–502
Of which: Commercial banks	–550	6	–412	–67	284	389	–510

Source: Balance of Payments Monthly, Bank of Japan.

NOTE Since the end of March, Gold Tranche Position in the IMF has been included.

Table F Merchandise Trade
$ million

	Imports, cif					Exports, fob				
	1963	1964	1965	1966	1967	1963	1964	1965	1966	1967
Total	6 723	7 938	8 169	9 523	11 663	5 416	6 673	8 452	9 776	10 442
By area:										
OECD countries	3 062	3 528	3 450	3 968	5 031	2 335	2 878	3 772	4 507	4 711
North America	2 393	2 715	2 723	3 109	3 846	1 628	2 032	2 724	3 266	3 323
EEC	394	444	392	447	655	330	365	485	595	546
EFTA	260	339	302	368	465	276	397	461	527	728
Other Europe	14	28	31	41	60	88	70	88	106	97
Non-OECD countries	3 661	4 410	4 719	5 554	6 631	3 080	3 794	4 676	5 266	5 729
Eastern Europe	180	256	276	349	562	179	218	212	273	229
China Mainland	75	158	225	306	269	62	153	245	315	288
Oceania, South Africa and Finland	705	800	753	958	1 225	292	415	541	518	617
Developing countries	2 701	3 196	3 466	3 941	4 575	2 546	3 008	3 678	4 160	4 595
Of which: In Far East	1 165	1 260	1 351	1 567	1 756	1 470	1 657	2 045	2 411	2 672
By SITC sections:										
0 Food, live animals	1 048	1 327	1 416	1 602	1 733	280	313	333	369	361
1 Beverages, tobacco	40	59	54	75	72	10	11	11	14	11
2 Crude materials, except fuels	2 748	3 051	3 167	3 813	4 443	164	186	223	229	210
3 Mineral fuels, lubricants, etc.	1 211	1 407	1 626	1 804	2 240	17	24	30	32	33
4 Anumal and vegetable oils and fats	40	47	54	60	51	31	29	29	24	19
5 Chemicals	369	458	408	497	611	315	384	547	669	684
6 Manufactured good classified chiefly by material	338	594	551	690	1 258	2 292	2 738	3 422	3 663	3 644
7 Machinery and transport equipment	800	825	711	763	972	1 474	1 958	2 643	3 308	3 817
8 Other manufactures	128	158	165	193	249	835	989	1 167	1 407	1 613
9 Not classified	1	11	17	26	37	—	43	48	63	48

Source: Foreign Trade Statistics, Series B, OECD.

Table G Government Finance
Fiscal years Billion yen

	1964	1965	1966	1967	1968
General Account[1]					
Total revenue	3 340	3 745	4 477	5 203	5 819
Taxes and stamp revenue	2 969	3 029	3 344	4 095	4 698
Monopoly profit	159	169	185		
Receipts from government enteeprises and properties	15	17	17	375	429
Miscellaneous revenues (including sales of government properties)	121	182	195		
Surplus carried over from the previous year	76	88	5	2	52
Public bonds	—	259	730	731	640
Total expenditure	3 340	3 745	4 477	5 203	5 819
Social security	444	544	631	740	816
Promotion of education and science	428	493	562	645	702
Pensions	162	171	195	220	254
Local allocation tax[2]	637	716	829	973	1 092
National defence	281	305	345	387	422
Public works	644	740	884	1 018	1 066
Others	744	776	1 031	1 220	1 467
The Financial Loan and Investment Programme[3]*:*					
Welfare	423	535	694	795	899
Housing	181	226	324	382	441
Water, Sewage, etc.	158	201	233	625	310
Agriculture and smaller industries	258	321	389	470	543
Roads, transportation, regional development	456	516	632	728	796
Key industries and export promotion	203	248	313	396	461
Total	1 340	1 621	2 027	2 388	2 699

1 Fiscal years 1964-1967 refer to the final budget, 1968 to the initial budget.
2 i.e. the part of the proceeds of income tax, corporate tax and liquor tax transferred to local authorities.
3 Initial plans.
Source: Ministry of Finance and EPA.

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